

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **The top 10% of American earners**, buoyed by big gains in stocks, real estate and other assets, now account for 49.7% of all U.S. spending, a record in data going back to 1989, according to Moody's Analytics. **A1**
- ◆ **Travel remained** a popular outlay, with consumers shrugging off higher prices for everything from hotel rooms to vacation dinners out, said Booking Holdings CEO Glenn Fogel. **B4**
- ◆ **Warren Buffett told** Berkshire Hathaway shareholders in his annual letter that while the company's ownership of stocks declined last year, the value of the operating businesses it owns increased. **B1**
- ◆ **A Chinese subsidy for** buyers of cheaper smartphones offers Apple the chance to regain some of its competitiveness in that market with the arrival there of its iPhone 16e this week. **B1**
- ◆ **Fashion brands that** long nodded to art and music in their marketing have lately been flirting with literature, as campaigns by J.Crew, Tiffany and Saint Laurent demonstrate. **B3**
- ◆ **Retailers expanding** their online offerings better to compete with Amazon have inadvertently made their offerings in stores look paltry by comparison, disappointing some shoppers. **B1**
- ◆ **R-rated horror film** "The Monkey" made its debut at No. 2, earning \$14.2 million and leaving in first place "Captain America: Brave New World," whose box-office take nonetheless plunged in its second weekend. **B2**

World-Wide

- ◆ **Friedrich Merz won** a clear victory in the German election, giving the conservative leader the tough task of forming a government after the far-right Alternative for Germany finished a strong second. **A1**
- ◆ **The U.S. and Ukraine** pushed divergent messages over the weekend, with Kyiv pressing for better terms to the mineral-rights deal sought by Trump, while Washington urged Ukraine to swiftly accept the proposal already on the table. **A1**
- ◆ **A posting and email** by Elon Musk telling federal employees to explain their productivity or risk losing their jobs appeared to prompt the most push back so far by other top administration officials. **A1**
- ◆ **The health of Pope Francis** worsened over the weekend, raising fears that he might not survive his struggle with pneumonia. **A18**
- ◆ **Israel said it would** temporarily withhold the release of Palestinian prisoners until Hamas stops staging ceremonies that humiliate hostages released by Hamas. **A8**
- ◆ **Trump named** conservative commentator and former Secret Service agent Dan Bongino as deputy director of the FBI. **A4**
- ◆ **The Trump administration's** figure of \$55 billion in achieved federal spending cuts is overstated, and the money saved from "woke" trims is a tiny fraction of the total, a Wall Street Journal analysis found. **A2**
- ◆ **A conservative advocacy** group filed a legal challenge against Chicago Public Schools over an initiative to give extra support to Black students. **A3**

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Funeral for Slain Leader Shows Hezbollah's Grip



THRONGS: Hundreds of thousands of people gathered for the funeral of slain Hezbollah leader Hassan Nasrallah in Beirut on Sunday as the group sought to project its power despite an Israeli offensive that has left it weakened and in disarray. **A8**

Kyiv Presses for Better Deal With U.S. on Mineral Rights

KYIV, Ukraine—The U.S. and Ukraine pushed divergent messages over the weekend, with Kyiv pressing for better terms to the mineral-rights

By Matthew Luxmoore and Jane Lytvynenko in Kyiv, Ukraine, and Alan Cullison in Washington

deal sought by President Trump as Washington urged Ukraine to swiftly accept the proposal already on the table.

The dispute over the minerals proposal is part of mounting disagreements between the U.S. and its allies about how best to end the war in Ukraine. The leaders of France and the U.K. were set to head to Washington this week to lobby on behalf of Ukraine, as the Trump administration's position continues to stretch trans-Atlantic tensions to their greatest in years.

Ukrainian President Volodymyr Zelensky said the administration should offer a better

deal on mineral rights, saying the current U.S. offer demanded ruinous financial contributions from Ukraine, which on Monday marks the three-year anniversary of Russia's full-scale invasion.

He called for security guarantees as part of any deal, as well as better financial terms. Zelensky said the demand that Ukraine return \$500 billion for military and financial aid provided during the war far outstripped the \$100 billion that the U.S. had given. He

added that the U.S. side had demanded that Ukraine pay two dollars for every dollar of aid the U.S. provides, a proposal he said was unfair.

"I don't want something that 10 generations of Ukrainians will have to pay back," he said on Sunday.

The Trump administration has demanded preferential access to Ukrainian mineral reserves, which include sought-after titanium, lithium and rare earths, as payback for U.S. *Please turn to page A10*

Wealthier Consumers Bolster U.S. Economy

By Rachel Louise Ensign

Many Americans are pinching pennies, exhausted by high prices and stubborn inflation. The well-off are spending with abandon.

The top 10% of earners—households making about \$250,000 a year or more—are splurging on everything from vacations to designer handbags, buoyed by big gains in stocks, real estate and other assets.

Those consumers now account for 49.7% of all spending, a record in data going back to 1989, according to an analysis by Moody's Analytics. Three decades ago, they accounted for about 36%.

All this means that economic growth is unusually reli-

ant on rich Americans continuing to shell out. Mark Zandi, chief economist at Moody's Analytics, estimated that spending by the top 10% alone accounted for almost one-third of gross domestic product.

Between September 2023 and September 2024, the high earners increased their spending by 12%. Spending by working-class and middle-class households, meanwhile, dropped over the same period.

"The finances of the well-to-do have never been better, their spending never stronger and the economy never more dependent on that group," said *Please turn to page A6*

◆ **Outlook: Federal layoffs tax the job market.....** **A2**

Dignity Dies At This Conference

Annual gathering turns suits into snack vultures

ORLANDO—About 80 people jockeyed for position behind security ropes in a hotel hallway last week. On the other side was a table stacked with snacks: Milka chocolate

By Laura Cooper, Jennifer Williams and Jesse Newman

eggs, Oreo muffins, Tate's cookies and family-sized bags of crackers. Then, at exactly 2:50 p.m., a whistle blew.

The horde swarmed the table, snatching cookies, cakes and chocolate bars. It was every man, woman and child for themselves. *Please turn to page A11*

Agencies Push Back Over Musk Ultimatum

WASHINGTON—Millions of federal employees headed into their workweek caught between differing factions of the Trump administration, with Elon Musk giving them a Monday night deadline to explain

By Brian Schwartz, Lindsay Ellis and Scott Patterson

their productivity or risk losing their jobs while some senior officials told workers to ignore the directive.

The effort marked an escalation of the Trump administration's push to scale back the scope of government, with Musk's Department of Government Efficiency, or DOGE, exerting growing pressure on the 2.3 million employees in the federal workforce. DOGE has pressured federal employees to quit, and the administration has fired thousands of newly hired workers, often without providing specific

reasons for their dismissal. Musk over the weekend, in a post on X, said that "all federal employees will shortly receive an email requesting to understand what they got done last week. Failure to respond will be taken as a resignation."

The email, which asked "What did you do last week?" in the subject line, told federal workers to respond by 11:59 p.m. Monday with a list of "5 bullets of what you accomplished last week." The note didn't say that nonresponses would be considered resignations.

Musk's moves have rattled career government employees for weeks, but the Saturday email appeared to prompt the most pushback so far by other top administration officials. Federal Bureau of Investigation Director Kash Patel told *Please turn to page A2*

◆ **Close look shows DOGE claims are overstated.....** **A2**

INSIDE



JASON GAY

The New York Yankees reverse policy, telling players, 'hirsute yourself.' **A14**

BUSINESS & FINANCE

How the internet made in-store shopping so miserable. **B1**

How Trump Embraced Russia

Recent about-face in U.S. foreign policy has been years in the making

When President Trump met Russia's Vladimir Putin for their first bilateral summit, in the Finnish capital of Helsinki in July 2018, the

By Yaroslav Trofimov, Josh Dawsey and Alan Cullison

two men cloistered themselves for hours with no advisers present.

Once they emerged to a packed news conference, Trump tossed a gift from the Russian president—a soccer ball meant for Trump's son

German Voters Give Merz A Clear Victory

Conservative party's win comes as the far-right AfD ends up a strong second

By Bertrand Benoit

BERLIN—Friedrich Merz won a clear victory in the German election, giving the conservative leader the tough task of forming a government after the far-right Alternative for Germany finished a strong second in Sunday's election.

Despite a historically strong showing by antiestablishment nationalists in a ballot that extended Europe's recent lurch to the right, early estimates indicated that Merz's Christian Democratic Union was on the way to a comfortable victory.

This means Merz this week will start talks on forming a government, at the end of which he is likely to become Germany's next chancellor and a central interlocutor for President Trump in Europe. But the way there could be rocky.

"The world out there is not waiting for us. And it is not waiting for lengthy coalition talks and negotiations," Merz told supporters in Berlin. "We must quickly regain our ability to act so that we can do what's needed at home, regain our voice in Europe, and ensure that the world sees Germany as reliable again."

Initial estimates gave the CDU—the party of former Chancellor Angela Merkel— *Please turn to page A8*

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